BERKSHIRE HATHAWAY BRK.B

March 03, 2020 - 12:19pm EST
by MarAzul

			2020	2021
Price:	212.07	EPS	0	0
Shares Out. (in M):	2,442K	P/E	0	0
Market Cap (in $M):	517,000	P/FCF	0	0
Net Debt (in $M):	0	EBIT	0	0
TEV (in $M):	0	TEV/EBIT	0	0

Description

Berkshire is not for everyone. I understand many investors consider it too big, boring, etc. I respect that opinion, and you can stop reading here. For the rest, if there are any, I will continue.

I am writing Berkshire now because in my opinion, the possibility of losing money from these prices is quite low. Upside could be substantial if things play out as expected.

Berkshire was moderately attractive before earnings and this recent correction. Then the bottom fell off the market, Berkshire declined 10% from an already attractive point. The stock is now significantly undervalued and has a mountain of cash.

What has been happening at Berkshire, is that the public has lost faith in the company´s ability to redeploy its cash. Investors have been disappointed for years: no acquisitions, repurchases have been minor, etc.

In early 2018, the stock reached a price of $225, since then shares have declined roughly 10%. Over this period, a significant number of positive events have taken place including massive gains at Apple, change in repurchase policy, continued growth in Insurance and Energy, etc. A ton of value has accumulated.

Having said that, I understand where the doubts come from. These doubts have created a discount in the share price. You can look at any valuation metric and find that Berkshire is trading at the low end of its range.

My rationale: Berkshire is already trading at levels that assume cash won´t be deployed in an efficient manner. From current prices, returns should be decent even if this condition is maintained. Having said that, I believe this will change and returns could be in the mid-teens over the next 5 years.

Description

Berkshire in its current form has wholly-owned businesses (BNSF, Precision Castparts, Duracell, etc.) and a portfolio of cash, bonds, equities and other assets (preferred shares, etc.).

Wholly-Owned businesses: Berkshire has acquired many businesses throughout the years. For obvious reasons, most of these acquisitions have been done during times when credit markets dry up (2001, 2008, etc.). There are many businesses here, with a varying degree of profitability and attractiveness. However, the most valuable businesses and by a wide range are BNSF and Berkshire Hathaway Energy. BNSF was acquired in 2009, and has been a home run by any measure as rails have been able to raise prices with slight volume gains. BHE has also been a terrific investment as the company has reinvested every penny (no dividends) into attractive projects earning decent returns. The MSR segment contains all the other businesses which include: Precision Castparts, Shaw, IMC, Lubrizol, Clayton Homes, Marmon, etc. These businesses in general have decent economics.

Net Income ($ million)

	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019
MSR & Other	$1,524	$2,903	$3,555	$4,256	$4,885	$5,711	$6,061	$6,803	$7,282	$9,364	$9,372
Energy	$1,071	$1,131	$1,204	$1,323	$1,470	$1,882	$2,132	$2,230	$2,033	$2,621	$2,840
BNSF		$2,235	$2,972	$3,372	$3,793	$3,869	$4,248	$3,569	$3,959	$5,219	$5,481
Operating NI	$2,595	$6,269	$7,731	$8,951	$10,148	$11,462	$12,441	$12,602	$13,274	$17,204	$17,693

Portfolio: Berkshire has a portfolio that is in partially financed by one of the best insurance operations in the world. The company has made an underwriting profit in 16 of the last 17 years. These funds have been better than cost -free.

Portfolio Assets ($ billion)

	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019
Cash	$28.2	$34.8	$33.5	$42.4	$42.4	$58.0	$61.2	$70.9	$113.1	$109.2	$125.0
Bonds	$35.7	$33.8	$31.2	$31.5	$28.8	$27.4	$26.0	$23.4	$21.4	$19.9	$18.7
Stocks	$56.6	$59.8	$76.1	$86.5	$115.6	$115.5	$110.5	$120.5	$170.5	$172.8	$248.0
Other	$29.4	$19.3	$13.1	$16.1	$24.4	$28.0	$39.0	$29.7	$21.0	$17.3	$17.5
Total Portfolio	**$149.9**	**$147.7**	**$153.9**	**$176.5**	**$211.2**	**$228.9**	**$236.7**	**$244.5**	**$326.0**	**$319.2**	**$409.2**

These are the 2 components of value. Since 2007, Operating earnings per share and portfolio assets per share have grown at a cagr of 12.5% and 8.5%, respectively. Fair value should follow the growth of these 2 segments, over time.

Investor Frustration

I think the 2 biggest concerns which are depressing the share price are the lack of aggressive repurchases and doubts if the company will be able to deploy cash.

Lack of repurchases: Since Berkshire changed its buyback policy, there have only been $6bn in repurchases. This has been a great disappointment to shareholders, since many thought that buybacks would be the solution to the cash problem.

- Buffett has been repurchasing, even if small amounts, at prices much higher than current levels. He executed repurchases in the high 220s. If at those prices he considered shares to be undervalued, then at current levels it is a bargain.

- There is a lack of volume in Berkshire shares, compared to other companies. It has been difficult to repurchase large amounts without affecting price. In the letter sent last week, Buffett offered a phone number for those interested in selling their shares could call the company directly. This might help.
- Since the 2018 ammendment to the repurchase policy, shares have rarely been significantly undervalued until now. They were quite cheap in late-2018, but Buffett said he was close to making a big acquisition that fell through and that slowed him down on repurchases. Some might not believe him, I do.
- When the stock has been cheap, he has repurchased close to 10% of daily volume, which is aggressive. Problem is these periods have not been prolonged.
- I think he will be very aggressive under the right conditions, like right now. He has been so in the past with major investments (recent example, Apple). We will soon know.

Cash deployment: One big problem, is Berkshire has become a big free cash flow generator. In 2019, operating cash flow was $39bn and capex $16bn. That leaves $23bn that needs to be invested or cash will build up. We can expect free cash flow to grow over time. On top of that, there is a $125bn cash balance (roughly double from $60bn in 2015).

- Acquisitions have been difficult to execute in this environment with som much liquitdity chasing yield. PE will likely outbid Berkshire in any deal.
- Berkshire has been able to generate strong returns in the equity markets and through special deals. Recent examples include Apple, RBI prefs, etc.
- Aggressive repurchases or a dividend will need to occur. Buffett has mentioned he can´t justify a $150bn cash balance.
- Berkshire is prepared for a downturn, with a lot of dry powder.

I believe Buffett will prove skeptics wrong as he has done in the past. Given the right conditions he will be aggressive, return cash to shareholders through buybacks and make special deals. We just have had a difficult environment to deploy capital in the past 5 years or so.

Valuation

There is a ton of valuation math on Berkshire out there. So most of you have seen this. We can go over some metrics just to show how undervalued and attractive this opportunity really is.

Book Value: As mentioned, for years Buffett thought that at 1.2x book value the stock was significantly undervalued and he would repurcashe at those prices. Since the repurchase policy of 1.2x BV was announced the stock never really traded below the leved (just on a couple of occasions and for a few days). The stock now sits below those levels, 1.18x BV to be exact. In the past decade or so, the average P/B has been 1.4x.

Two-Column: Here we just add the two components of value. Here I apply a 17x multiple to the earnings of the wholly owned businesses. Also, exclude earnings from the insurance operations just to be conservative. For the portfolio assets, just take current value and apply a haricut for deferred taxes and other.

	Operating Earnings
2019 earnings ($bn)	$17.7
Multiple	17x
Value of Segment ($bn)	$300.0
	Portfolio
Portfolio Assets ($bn)	$409.2
Haircut in $bn (Def. taxes, other)	$25.0
Value of Segment ($bn)	$385.0
Total Value ($bn)	**$685.0**
Value per B Share	**$280.50**

Sum of the Parts: Similar to the two column method. Here I try to separate the two largest businesses (excluding insurance) and try to get a specific valuation for each. For MSR, I apply a 17x multiple to the earnings of these businesses.

- BNSF: I apply a 10% discount to the current market value of public competitor UNP. These are similar assets, with a comparable network. BNSF earns roughly 10% less than UNP. The $100bn valuation is close to 18x trailing earnings.
- BH Energy: Berkshire owns 91% of the company. BHE has been repurchasing shares from the other shareholders at what they consider “fair value”. In 2019, they repurchased shares at a valuation of $50bn, which gives us a value for Berkshire´s ownership fo $45bn. This equates to 17x trailing earnings and 1.5x book value.

	Value ($bn)
Net Portfolio assets	$385
MSR	$160
BNSF	$100
BH Energy	$45
Total Value	**$690**
Value per B Share	**$282.50**

As shown, under almost any metric, current prices are quite attractive.

	Value per B Share
Average Book Value (1.4x bv)	$245
Two-Column Method	$280
Sum of the Parts	$282

Going Forward

It is clear Berkshire is cheap. You can buy into some first class businesses with a strong balance sheet at prices implying decent returns with little downside.

However, under current conditions I don´t think Berkshire re-rate to an estimate of fair value. Investors will continue applying a discount due to the cash build up, size, Buffett´s age, conglomerate discount, etc.

Having said that, I do not think the discount will widen, at least significantly, from current levels. Also, without any extraordinary investments, I calculate value to grow by 8% a year, even if there are no major new additions to the portfolio of assets. Since right before the crisis, I calculate earnings and portfolio assets have grown by close to 10% a year.

If we get some turbulence, like the recent Coronavirus correction, think Berkshire will be aggressive. This will alleviate some of the concerns and eventually shares will re-rate as they have done in the past.

Let´s imagine a scenario where free cash flow goes directly into buybacks and no additional investments. Think that would be something the market would like.

	2018	2019	2020	2021	2022
Negocios Varios	$9,364	$9,372	$9,747	$10,137	$10,542
Energy	$2,621	$2,840	$3,067	$3,313	$3,578
BNSF	$5,219	$5,481	$5,591	$5,702	$5,816
Insurance Underwritting	$1,566	$325	$1,000	$1,000	$1,000
Total Operating Earnings	**$18,770**	**$18,018**	**$19,405**	**$20,152**	**$20,936**
Cash	$109.2	$125.0	$125.0	$125.0	$125.0
Bonds	$19.9	$18.7	$18.7	$18.7	$18.7
Stocks	$172.8	$248.0	$248.0	$265.4	$283.9
Other	$17.3	$17.5	$17.5	$17.5	$17.5
Liquid Assets	**$319.2**	**$409.2**	**$409.2**	**$426.6**	**$445.1**
Op. Earnings/Share	$11,420	$11,067	$12,956	$13,956	$15,008
Liquid Assets/Share	$194,213	$251,330	$256,518	$279,806	$304,994
Share A equivalent	1,643,556	1,628,138	1,554,872	1,492,677	1,432,970

Using the same model as mentioned previously, we get to a fair value of $355 in less than 3 years.

If Berkshire is able to show that it can deploy its cash flow in an efficient manner, stock will trade closer to the estimate of fair value.

My bet is they will be able to create value, as they have done in the past. Investors will be positively surprised.

I do not hold a position with the issuer such as employment, directorship, or consultancy.
I and/or others I advise hold a material investment in the issuer's securities.

Catalyst

Significant Buybacks

Additional investments, taking advantage of recent correction

Messages

Subject	A couple of questions
Entry	03/03/2020 02:06 PM
Member	nha855

1) Are the $17.7bn of earnings from wholly owned businesses pre-tax earnings or post-tax? Do these earnings exclude the portion attributable to minority interests in the energy divsion?

2) What is the book value of the insurance operations and their ROE?

3) The company seems to have quite a bit of gross debt ($100bn) - why not subtract this from the company's liquid assets to get a "net cash and investments" measurement?

4) Why not think about value as the sum of the parts of (1) operating businesses, (2) insurance businesses, and (3) liquid assets, net of debt, which sit outside the insurance operations?

Subject	Booooo... Booooo! [Throws cabbage]
Entry	03/03/2020 02:11 PM
Member	woop

Just kidding, I added some on Friday when it got below $200/share, and I think it will conservatively do +10% going forward from these levels.

Buffett was more aggressive with share repurchases in Q4, repurchasing over $2 billion worth as high as ~$222/share.

Some reactions to your valuation:

- **Operating companies.** Your 17x earnings seems aggressive. Historically, over the last 20 years, it seems like the market has valued BRK at more like 13x post-tax earnings at the subsidiaries (obviously a hard thing to measure since BRK has a lot of moving parts, but in my model I pulled in data going back to 1999 - after which BRK began deriving more of its earning power from wholly owned subsidiaries - and that's what I was seeing). Sure, you could argue now we have lower interest rates and higher valuations and so forth, but I don't see this congomerate discount going away anytime soon. Also, the MSR segment doesn't look that great, with flat earnings and capex substantially exceeding depreciation. I get something more like $20B * 13x = **$260B**. (The $20B = $18B + $1B underwriting adj. (since underwriting profit was a bit subpar this past year) + $1B uneconomic amortization = $20B.)
- **Portfolio.** For the equities, I get equities equal to $226B - $24B deferred tax liability + $7 billion (30%) for the benefit of the DTL =**$209B**. Then for the cash and fixed income, I get $125B cash (excluding BNSF and BHE cash) - ~$20B insurance buffer - $20B haircut for idleness with the cash + $19B fixed income - $20B in parent debt = **$82 billion**.
- **Total.** That brings me to $260B + $209B + $82B = **$552B**

I like BRK at these levels, but I struggle to see the high valuations that people are giving it. For example, the gentleman who does the BRK magnum opus every year (Semper Augustus 2019 Client Letter) thought it's worth $800 billion or something like that. I followed all of the adjustments he was making, but then he slapped a massive multiple on the adjusted earnings and added an "optionality premium" on the cash.

Here is my model if anyone cares to take a look. I'm getting much of my family to shift from cash to BRK.B, so I'd be interested to hear if anyone disagrees with the way I've gone about things.

BRK.B model: https://drive.google.com/open?id=1syd34cSdUAjgsAxGl1KBNRNZGJpSCDaY

Interested to hear what others think.

Subject	Re: Booooo... Booooo! [Throws cabbage]
Entry	03/03/2020 02:30 PM
Member	woop

Sorry for this lame question, but how do you paste images into a message?

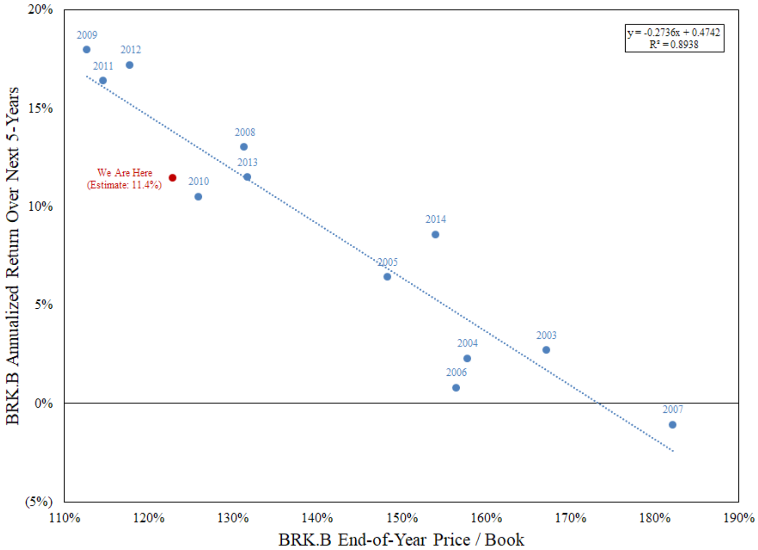
Subject	Re: Re: Booooo... Booooo! [Throws cabbage]
Entry	03/03/2020 02:54 PM
Member	roojoo

You open a google doc, paste the image in there, then copy-paste from the google doc into here. Don't ask me why, but it works.

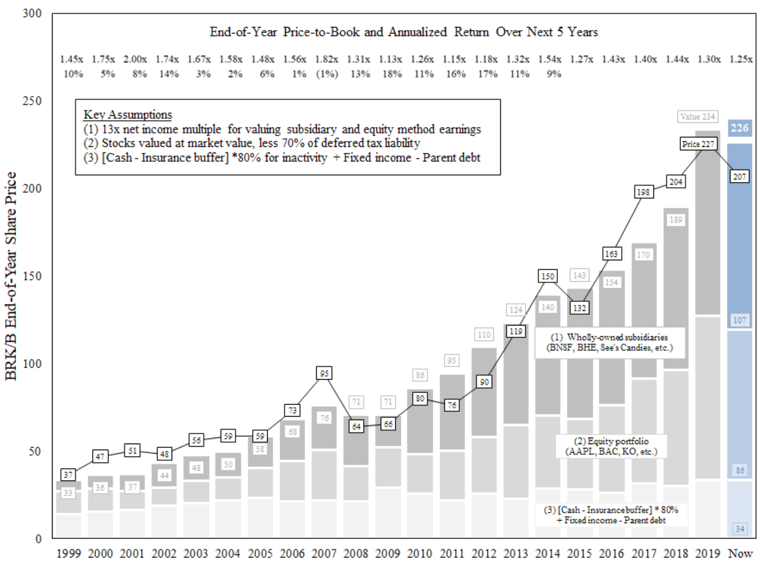
Subject	Historical P/B vs Next 5Y returns and valuations going back to 1999
Entry	03/03/2020 03:41 PM
Member	woop

Thanks roojoo.

Here's an interesting chart where I compared BRK P/B vs annualized returns over the next 5 years. For example, BRK's 12/31/2013 P/B was 1.32x and the 5Y CAGR from 12/31/2013-12/31/2018 was 11%. Buffett recently said to rely less on P/B because he feels BRK is increasingly worth more than book value due to (1) wholly-owned subsidiaries value growing in relation to book value and (2) share repurchases at prices exceeding book value. So one could take the view that 5Y forward returns ought to be above the trendline rather than below the trendline (I haven't taken that view here, perhaps because I'm using conservative assumptions).



This one just compares my end-of-year valuation method to the end-of-year stock price - using a consistent methodology going back to 1999. This is why I was a bit more inclined to value the operating company earnings at something more like 13x.



Excel file: https://drive.google.com/open?id=1syd34cSdUAjgsAxGl1KBNRNZGJpSCDaY

My apologies MarAzul - don't mean to hijack the thread. I had considered posting BRK myself.

Subject	Re: A couple of questions
Entry	03/03/2020 03:46 PM
Member	MarAzul

1) Post tax. Net earnings. Correct, those are the earnigns attributable to BRK shareholders (exclude minority-interests).

2) The statutory surplus for the insurance division is $216bn as of 12/19. ROE difficult to estimate since you would have to normalize portfolio earnings. Other insurers have close to 100% of assets in FI which in turn normalizes earnings. For BRK, eanrings are chippy due to exposure to equity markets.

3) $65bn of that debt is in the energy and railroad businesses. Results are net of interests on that debt. Also, these businesses can tolerate some leverage given the cash flow profile. Parent company debt is just $20bn. I apply a haircut to the asset portfolio that takes into account some of the DTL and the holdco debt.

4) That can be done. There are many methods to analyze the company. I have tried to assume the whole insurance portfolio is invested traditionally (Fixed Income) and just value it as other insurance companies. Get similar results to the methods in the write-up.

Thanks for your questions.

Subject	Re: Booooo... Booooo! [Throws cabbage]
Entry	03/03/2020 03:57 PM
Member	MarAzul

1) On the 17x multiple. You might be right. I guess each investor can move it around depending on what they feel comfortable with. Personally, I think 17x is actually very reasonable (might be wrong) given the quality of the largest businesses (BHE and BNSF) and the multiple at which public peers trade at. In the early 2000s, the quality of the wholly-owned portfolio was arguably much lower (but that is not a fact). I am also excluding earnigns from insurance which have been quite consistent over the last 20 years.

2) I agree that some valuations out there seem to be "way too positive". I also think it can do 10% for next 5 years or so, under a conservative scenario.

Let´s hope we are right and thank for the comments.

Subject	Re: Re: Booooo... Booooo! [Throws cabbage]
Entry	03/03/2020 03:59 PM
Member	MarAzul

Google Docs.

Subject	Re: Historical P/B vs Next 5Y returns and valuations going back to 1999
Entry	03/03/2020 04:01 PM
Member	MarAzul

Great. That is good info. And on hijacking the thread, fell free to do so. The more discussion the better.

Subject	Re: Re: A couple of questions
Entry	03/03/2020 04:29 PM
Member	finn520

Here is another stab at it in a SOTP. I have never felt comfortable just valuing the investments and not accounting for insurance liabilities, though I more or less come to the same place.

You used to be able to triangulate the insurance book value more cleanly, but Buffett stopped providing the condensed balance sheet for Manufacturing/Servicing/Retail ("MSR", he used to put it in letter). From that, you could back that out of the balance sheet and get a pretty clean look at the Insurance piece. They also collapsed Financial Products segment a few years ago.

Book values = Insurance & Other (all buy Railroad & Utilities) had $396b book value at year end, leave aside deferred taxes on investments. Say $100b excess cash, $20b cash on books, $30b Financial Products (last reported $25b in 2017), $15b GEICO book value (comp to PGR, it's a guess), $100b equity for MSR (last reported $92b in 2016, no major acquisitions since). That leaves $130b book value for Insurance, which includes all investments ex-excess cash (at year end 2019).

Value those pieces as follows = $120b cash, $30b Financial Products @ 1x book, GEICO @ $35b = 1x premium which foots to Buffett past comments and PGR comp, $105b insurance book less $25b stock losses mark-to-date = $105b x 1.5x book = $158b. Then subtract $20b for deferred tax on investments. That gets you $323b value on insurance & investments. Market Cap is $519b. That leaves $193b value for Railroads, Utilities, and MSR (all other operating businesses). They earned $18b last year, so about 11x PE on those pieces ex-insurance/investments. If you mark those at 20x PE for railroads and utilities, and 17x PE for MSR, which seems to me to be where public comps trade, then the stock is worth $263 per B share. It trades at $210, so 20% below that value, with a huge slug of net cash.

That seems to me to foot to Buffett's actions on repurchaes, where he thinks it's moderately cheap but not really that excited about it.

Thinking about growth from here, the operating businesses earn $18b and then you have insurance with $215b of equities in there. If they can grow operating earnings 10% per year @ 17x PE = $31b value per year, and grow equities 7% per year = $15b value per year, that is $46b of value per year on a $419b market cap (ex-$100b excess cash). If they can put the cash to work at some point, the earnings should grow further.

Subject	Valuing Float

Entry 03/03/2020 05:12 PM
Member woop

Two questions regarding float:

- **Float growth.** Years ago during the annual meetings, when BRK had about half the float it has today, Buffett said that he couldn't imagine the float growing much more than where it was - and actually expected it to decline a bit. Then he switched to suggesting that it may grow for a bit. **What changed?** Gun to my head, I would guess that maybe as BRK got bigger it got better - becoming the only game in town for certain large, unusual insurance policies. But I'm not sure. For a few quotes:
  - 2006 meeting ($51B of float): "It can't grow at very rapid rates."
  - 2011 meeting ($71B of float): "[Regarding float] five years from now, I probably would bet just a slight bit higher… I think we'll be lucky to hold on to the $70 billion."
  - 2017 meeting ($115 of float): "And there is no way that that that float can shrink a lot in any short period. It just structurally has been set up in such a way that it will not — it cannot shrink. And actually, I think it'll grow a little bit for a while. I mean, I've always been amazed by how much it has grown. We've got so much more float than any property-causality company in the world."
- **Valuing Float.** If you assume that the float grows, do you capitalize it? I saw that the finn520 feels uncomfortable ignoring the liability. I tend to be okay with just looking at the float since BRK is so well capitalized (so that it can invest in equities), structures policies to cap liabilities, and has a record of remarkable underwriting discipline. I suppose if you take that view and assume the $129B of float grows at, say, 5% per year and gets invested in equities, then you could treat that adding another $60-$100B or so of value. **Does that seem reasonable?** I'm by no means an insurance expert though, so don't hesitate to straighten me out on this.

Subject Re: Re: Re: A couple of questions
Entry 03/03/2020 05:21 PM
Member woop

I too get about $260-270/share if I value BNSF and BHE at 20x and MSR at 17x. I suppose I was reluctant to use comparables since I personally (and I suspect most others on VIC) would be reluctant to pay those multiples for those businesses. But I see the sense in comparing to the market.

For some context, back at the 2012 shareholder meeting, someone asked what multiple Buffett would be comfortable paying for the wholly-owned subsidiaries (bear in mind that in 2012 the statutory federal tax rate was 35% instead of 21%, so 9x pretax earnings was more like 14x post-tax earnings). So perhaps my 13x is slightly too low in that regard. But I also suspect the MSR segment may not have performed as well since 2012 as Buffett may have expected.

- Question: What's a reasonable multiple to apply to the pretax earnings of the non-insurance businesses?
- BUFFETT: Under today's conditions, I would love to buy those at certainly 9x pretax earnings, maybe 10x pretax earnings. I'm not talking about EBITDA or anything like that, which is nonsense. I'm talking about regular pretax earnings. If they have similar characteristics, we'd probably pay a little more than that, because we know so much more about them than we might know about some other businesses.

Subject Re: Re: Re: Re: A couple of questions
Entry 03/04/2020 08:19 AM
Member MarAzul

I think that is the answer to the "multiple to be applied" question. Many of Buffett deals and equity investments were done at 10x pre-tax. That comes close to 15x earnings (prior to tax reform). In 2012, he said he would love to get these businesses for 15x. At that point, long term rates were higher and multiples lower. So if 8 years ago, he thought 15x was attractive, then I would say 17x is actually very reasonable. Multiples have expanded, rates are lower and business quality has improved. But again, that is only my view.

Subject Management
Entry 03/04/2020 11:41 AM
Member amr504

For starters, we increased our BRK position significantly last week and we come out with approximately the same valuation you laid out in your writeup (which I thought was very solid, so thanks MarAzul). That said, I would like to get a conversation going about management... which probably sounds very strange for this company. There are two things I worry about for the long term:

1. Do you think it is a risk that some of the important subsidiaries are not well managed, and Buffett will have difficulty making a change? In this case, I'm thinking specifically of Geico (but perhaps there are other, better examples). It seems that Geico is losing ground to PGR, and we now have Todd Combs managing that business (who was a mid-level manager at PGR early in his career, but doesn't have much experience in something like this). Geico is very important, and could cause significant damage to BRK intrinsic value that would play out like a slow motion train wreck if it happens. I'm concerned about the oversight from WEB in some of these cases.

2. Related, do many of the "CEO's" of the operating subs think of themselves as working for Buffett? Does that create any issue when he's no longer around? I know the average age of sub CEO's is not exactly young, and they are all financially set. Without Buffett, is there a mass exodus of senior management? Is there bench depth at these operating businesses?

I know these things are hard to figure out from the outside. I'm just curious how people think about these issues, if at all.

Thanks.

Subject Re: Management
Entry 03/04/2020 02:39 PM
Member Nails4

I'm about to ask a very heretical question. Don't be mad.

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Should BRK trade with a Buffett discount?

Yes he's the greatest investor of all time. But TBH his track record in the last 20 years has been "meh". Not great. Not horrible. Even with the recent gains in AAPL, I'm not sure if his public equity investment has CAGR'ed better than the S&P over 2 decades, because the drags from companies like AXP, KO, WFC, IBM, etc are so large over that timeframe. He's also had notable missteps -- like KHC. Would he have made that mistake earlier in his career? The big Precision Castparts deal is a question mark in my mind. The management goings on at Geico is a little alarming as well.

Growth in book value and stock price has been "meh" in recent years as well.

Buffett is OLD. Really old.

Has he actually outserved his illustrious reputation? Is he still the manager and capital allocator he was 20+ years ago? Is he still ABOVE AVERAGE?

Sacraligious I know.

hides behind a rock

Subject	Re: Management
Entry	03/04/2020 05:04 PM
Member	MarAzul

Questions on management and results at the subsidiary level are valid.

1) I think Geico is very well managed. They have the best cost structure in the business and have been gaining share from years now. What has happened in the last few years is that Progressive has shown that by using data/telematics, they can price risk much more efficiently. The advantage has widened and Geico is trying to make a push on closing the underwriting gap. In the last meeting, Ajit Jain talked about this and how they will try to tackle this difference. Having said that, results have been great. It is also important to note, that Buffett cares very much about Geico (its his favorite business) and knows it very well. I don´t think it is mismanaged or that there is a lack of oversight. It does not help that Progressive is a very good competitor.

I must admit I was disappointed that internally, they could not find a new CEO. Combs will be the interim until they decide on who can lead the company for the next decade. Focus will probably be on adopting data analytics and telematics to improve pricing accuracy.

2) That might be the case for some CEOs, however I believe the Berkshire culture is trully special. Think it will survive for at least a decade or so after Buffett is no longer present. That is just my opinion.

In general, if you look at the history of Berkshire you will see that Buffett has always had troubled subsidiaries/investments and the company kept going. I know some things grab our attention, but issues are expected from a company with so many investments, subsidiaries and exposures. List of troubles is long: Salomon, Buffalo News, US Air, Wells, Berkshire, Dexter, Netjets, etc. Not trying to say things are always great and we should ignore the issues that come up.

Subject	Re: Re: Management
Entry	03/04/2020 05:30 PM
Member	MarAzul

I would start saying that I believe there is no Buffett premium in the share price at the moment.

On AXP, KO, WFC, I think it did not make sense to sell them given the DTL. Also, the company had a mountain of cash and would need to find a place to allocate that additional capital. So, I would separate those.

In the last 20 years he has done few investments that truly move the needle:

-BH Energy: Outstanding results. mid to high-teens IRR, every penny reinvested.

-Iscar: outstanding results. company is probably worth many multiples of invested capital.

-Crisis Special deals: Mars Prefs, Swiss Re Prefs, Goldman Prefs, GE Prefs, etc. All these worked out nicely.

-BNSF: outstanding results, has taken out initial invesment in dividends in 10 years. Worth 3x what he paid.

-BAC Prefs: Probably one of his best deals ever, done few years after the bottom of the crisis.

-IBM: Not a good investment. No loss of capital but significant opportunity cost.

-Lubrizol: Dissapointing results.

-KHC:Not good, but not as bad as it looks. In 2013, he invested $8bn in a 9% pref that were called 3 years later for a premium. His total investment, excluding this pref is $9.6bn. His stake is currently worth $8.6bn, but they have earned high and tax efficient dividends for more than 6 years.

-Precision Casparts: We don´t have a lot of information, but it seems like it has been disapointing.

-Airline basket: So far it has been a dissapointment.

-Apple: so far so good. Size and gains make it probably one of his best investments ever (so far).

-OXY Pref: 8% coupon in a 0 interest world seems ok. TBD if they can pay this divdend, since there is significant leverage.

I think his results have been quite decent in his last 20 years. Not easy to invest such large sums. The succesful investments have naturally become a larger % of the company and that helps anyone (he won´t sell the winners).

Subject	Re: Re: Management
Entry	03/04/2020 07:35 PM
Member	sancho

I would also add - "if you want to sell your stock, give us a call"... seriously? I know you have a massive pile of cash, but come on, your stock trades near $1bn a day.. sounds like disingenous BS to me, too much pride and ego to give up on deals and just admit buybacks are the best course of action.

Subject	Re: Re: Re: Management
Entry	03/04/2020 07:44 PM
Member	MarAzul

$1bn a day of volume for a $500bn market cap company is not a lot. It´s little in my opinion. You can do the math, but at 10% of volume that would be $100mm a day. Let´s say they can be active 225 days a year, that´s $22bn, or 4% of market cap in your best case scenario...

Subject	Re: Re: Re: Re: Management
Entry	03/04/2020 09:25 PM
Member	sancho

How much did he spend on buybacks last year, $2bn? So, 1% of total volume traded. Maybe the stock is not as liquid as other companies of this market cap. But blaming the low buyback activity on liquidity alone is absolute BS.

As always with uncle Warren, watch not what he says, but what he does.

Subject	Re: Re: Re: Re: Re: Management
Entry	03/04/2020 09:41 PM
Member	MarAzul

No, he spent $2bn last quarter. Throughout november he was buying close to 10% of daily volume.

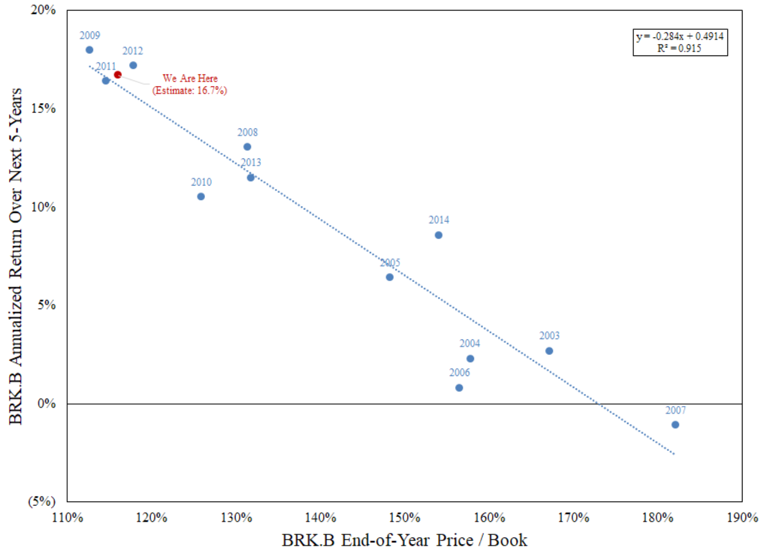
Subject	portfolio
Entry	03/07/2020 07:56 PM
Member	SpocksBrainX

any pause there? using end of 2019, 29.7% in one stock (ok, a great company, no doubt), 30.6% in one industry (banks; getting clocked ytd at least), 3.5% airlines (another tough place to be); maybe the sort of portfolio to own after financial shocks, but before? Clearly correlated risk - obviously more important if you managed outside money cause you'd have to be more aware, but does it get a pass inside a controlled corporate structure just because it is WEB? And realize the growth of these things happened over time, but over the last decade do you end up with 1924 in V or 18598 in WFC? If V falls a lot, a lot of folks line up to buy; if WFC falls a lot, will you line up to buy? it is down 30% and more right now, anybody lining up to buy it? I know he is WEB and all, but...any unease at all, or irrelevant thinking. realize the portfolio is just one side...

?

Subject BRK Price-to-Book vs Next 5Y Returns
Entry 03/12/2020 12:23 PM
Member woop

Seems like you're getting some nice value at these levels. In the chart below, I adjusted the current P/B estimate to reflect the market changes to the equity portfolio (and adjusting for the reduction in the deferred tax liability). I also assumed about 2 months of earnings. So the 1.16x P/B figure attempts a snapshot as of 3/12/2020. Thought it might be useful for context when everyone is losing their heads. And if Buffett is putting lots of cash to work at high rates of return (e.g., buying back loads of shares / buying equities / lining up deals for good companies in distress), the expected return might be even higher.



Subject Re: BRK Price-to-Book vs Next 5Y Returns
Entry 03/12/2020 12:36 PM
Member JL Gotrocks

How much are you adjusting down the non-equity portfolio portion for your book value?

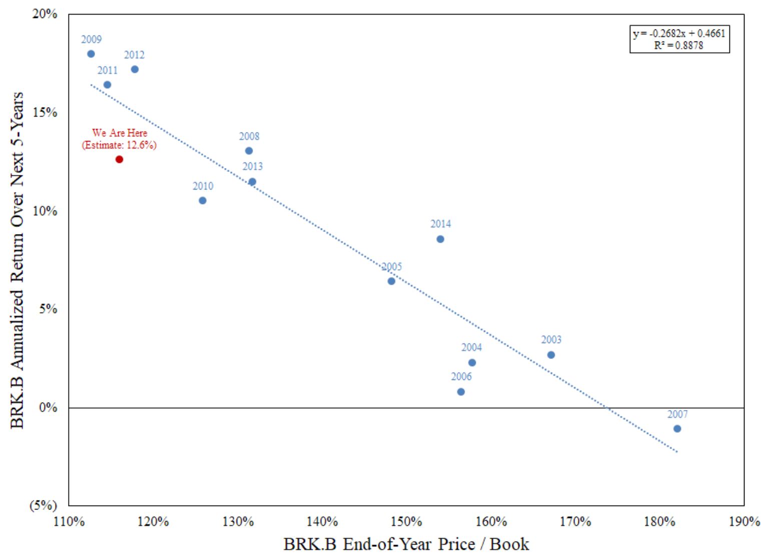
Subject Re: Re: BRK Price-to-Book vs Next 5Y Returns
Entry 03/12/2020 01:33 PM
Member cubbie

Seems pretty unfair to do that given much of the book was purchased long ago and has never been written up

Subject Re: Re: BRK Price-to-Book vs Next 5Y Returns
Entry 03/12/2020 01:40 PM
Member woop

I wasn't doing anything there. As of Q4 BRK had $248B in equities (which I've adjusted down to $180B, before accounting for the change in the DTL), $125B of cash (which I've left as is; excludes BNSF and BHE cash), and $19B of fixed income (which I've left as is). What did you have in mind?

I suppose you could lower the earnings multiple on the wholly-owned businesses in coming up with the estimate. I was doing 15x earnings in the previous chart. If you do 12x, for example, the chart looks like this.



Subject Re: Re: Re: BRK Price-to-Book vs Next 5Y Returns
Entry 03/12/2020 01:52 PM
Member woop

If you were referring to the wholly-owned businesses, I tend to agree with cubbie. Buffett relaxed the buyback threshold (previously 1.2x book) because of the point cubbie was making.

Buffett purchased all of BNSF for around $35B I think (correct me if I'm wrong), for example. But if BNSF was publicly traded today, it would probably trade for $70-$80B. There are a number of other businesses within Berkshire that are similarly undervalued when just looking at their carrying value on the balance sheet. However, the MSR segment hasn't produced good returns on equity lately (impossible to measure directly, but this guy takes an admirable crack at it: Semper Augustus 2019 Client Letter, see page 83), so we shouldn't get *too* carried away with that line of thinking. In other words, things like BNSF and BHE are worth more than book value. Collectively the MSR segment may not be worth that much more than book value. But on the whole, Buffett has pushed the idea in recent years that the wholly-owned businesses are worth substantially more than book value - particularly since the insurance businesses do a nice job of underwriting and are growing the float - and as a result the 1.2x P/B threshold for repurchasing shares was too restrictive.

Interested to hear other views though.

Subject Re: Re: Re: BRK Price-to-Book vs Next 5Y Returns
Entry 03/12/2020 02:12 PM
Member JL Gotrocks

Thank you

Subject Re: Re: Re: Re: BRK Price-to-Book vs Next 5Y Returns
Entry 03/12/2020 02:14 PM
Member surf1680

The Fed just printed $1.5 trillion - Buffett probably didn't print any more BRK shares.

Subject Re: Re: Re: Re: Re: BRK Price-to-Book vs Next 5Y Returns
Entry 03/12/2020 02:20 PM
Member woop

Well if we're lucky the Fed will start buying BRK shares with the $1.5 trillion

Subject Bill Gates
Entry 03/13/2020 05:08 PM
Member MarAzul

Unexpected, Bill Gates is retiring from the Board. I thought he would be the most important director after Buffett was no longer present given the amount of shares his Foundation will eventually receive. I know they will get liquidated over time, but still he has a lot of interest in Berkshire performing.

Subject Re: Re: Re: Re: Re: Re: BRK Price-to-Book vs Next 5Y Returns
Entry 03/16/2020 09:29 AM
Member finn520

https://twitter.com/SuperMugatu/status/1238943292437467140

Dan McMurtrie
@SuperMugatu

EXECUTIVE: uh, this term sheet just says “I stab you” MUNGER: [silently picks up piece of peanut brittle, loudly chews on it] ... Warren? WARREN: This is a take it or leave it offer. It expires in 2 minutes

MUNGER: [again picks up piece of peanut brittle, chews loudly, stares]
5:41 PM · Mar 14, 2020 · Twitter for iPhone

Subject Qs
Entry 03/23/2020 12:15 PM
Member WinBrun

1-Does Buffett want to own the airlines if the airlines cannot repurchase stock for some time?

2-Can WEB do a large buyback or Berkshire stock----or is there too much social/political backlash against buybacks and WEB does not want bad publicity (he hinted in FT interview last year about being able to move quickly and in size on a buyback----would imagine if would be a buyer of BRK here----but maybe overall decline create better opportunities)

On buybacks more broadly----and maybe this is reactive---a lot of the WEB publicly traded equity positions benefit a lot from share repurchase (AMEX/Apple/Banks--great businesses with low incremental capital requirements)---is it possible that the dynamics with share repurchase are going to change in a way that even companies that do not take gov't money/need bailout are going to move away from share repurchases for the forseeable future-----

Not used to seeing BRK go down with the market in this way.

Subject Insurance exposure to COVID-19?
Entry 03/24/2020 11:38 AM
Member woop

Anyone have a sense of BRK's insurance exposure to the coronavirus? I read over the 10-K. I know all of the policies are capped so there's no reason to worry about anything cataclysmic.

The 10-K organizes things into:

- **GEICO (K-3).** Personal auto insurance. [I wouldn't expect anything to worry about here. In fact, people will drive way less during this thing, so underwriting profits should go through the roof.]
- **Berkshire Hathaway Primary Group (K-4).**
    - *NICO Primary.* Commercial motor vehical and general liability insurance.
    - *BHHC.* Workers compensation, commercial auto, and commercial property.
    - *BH Specialty.* Commercail property, casualty, healthcare professional liability, executive and professional lines, surety, travel, medical stop loss, and homeowners insurance. [Maybe there's concern regarding healthcare professional liability during all of this. Perhaps others can weigh in.]
    - *MedPro.* Healthcare liability insurance. "MedPro providescustomized HCL insurance, claims, patient safety and risk solutions to physicians, surgeons, dentists and other healthcareprofessionals, as well as hospitals, senior care and other healthcare facilities." [Again, a lot of lawsuits may come out of what goes on in the hospitals during this.]
    - *USLI.* Commercial, professional, and personal lines of insurance.
    - *GUARD.* Workers' compensation, business owners', commercial auto, commercial package, and homeowners' products to over 350,000 small and mid-sized businesses. [Not sure what the nature of busines owners' insurance is, but it seems like this could be big. I know of small businesses in Louisiana that made substantial insurance claims following Katrina (e.g., an architect getting a $100,000 check).]
    - *MLMIC.* Medical professional liability. [Again, may see a lot of medical lawsuits coming out of this.]
- **Berkshire Hathaway Reinsurance Group (K-4).**
    - Property/casualty.
        - *NICO Group.* "The type and volume of business written by the NICO Group may vary significantly from period to period resulting from changesin perceived premium rate adequacy and from unique or large transactions." [Hard to get a sense on this. They mention that NICO has a 20% quota-share agreement with Insurance Australia Group, a multi-line insurer in the Asia Pacific region.]
        - *General Re Group.* "In North America, the General Re Group includes General Star National Insurance Company, General Star Indemnity Companyand Genesis Insurance Company, which offer a broad array of specialty and surplus lines and property, casualty and professional liability coverages." [Hard to get a sense of the expsure here, but doesn't seem too directly affected by coronavirus.]
    - Life/health.
        - *General Re Group.* "The General Re Group also conducts a global life and health reinsurance business. In the U.S. and internationally, the General Re Group writes life, disability, supplemental health, critical illness and long-term care coverages. The life/health business is marketed on a direct basis. Approximately 27% of the aggregate life/health net premiums written by the General Re Group were in the United States, compared to 18% in Western Europe and 55% throughout the rest of the world." [Hopefully the death toll isn't severe enough for this to be too heavily affected. Sadly, since the coronavirus takes people so quickly (15-20 days) - and since much of the business is ex-US where costs are much higher - the medical costs probably won't be too high.]
    - Retroactive reinsurance.
        - *NICO; BHLN.* Stuff like asbestos, latent injury claims, annuities, etc. [Shouldn't be affected by coronavirus.]

GUARD is the one that stands out. If Berkshire is underwriting business insurance for hundreds of thousands of businesses - and many of those businesses have to shutter for months, with the stoppage linked to a specific external cause that may be covered under insurance - it seems like the liability could be massive. Buffett has talked about how other insurance companies - when writing individual homeowner's insurance policies in Florida, for example - make the mistake of writing tons of little coverages, unwittingly insuring a super-cat event. Also Gates is Buffett's best friend so I would imagine he would be aware of the business risk of a pandemic. So hopefully he and Jain wouldn't let GUARD fall into this trap.

Also, we may find that a tsunami of underwriting profits at GEICO dwarfs the losses.

I'm by no means any sort of insurance expert. Like most I would imagine, I just look at BRK management's philosophy and track record in assessing BRK's overall underwriting skill. I'm interested to hear the views of others since the COVID-19 pandemic has far-reaching impacts.

woop

Subject	airline sales
Entry	04/05/2020 11:31 AM
Member	azia1621

Any thoughts on the move to sell some DAL and LUV? He's below 10% in each now so he no longer has to disclose his moves right away.

3 weeks ago he gave an interview with Yahoo Finance in which he was asked point blank whether he would be selling the airlines and he positively scoffed at the idea. "No, we won't be selling the airlines."

I think the signaling effect of this could actually be really bad, and am wondering whether there might be more to the story than just Buffett getting burned on airlines again and deciding to bail once and for all. The headline on Fri about Delta expecting Q2 rev to be down 90% was pretty amazing.

Subject	Re: airline sales
Entry	04/05/2020 11:51 AM
Member	nassau799

Perhaps a stupid question but I was wondering if Berkshire had to be under 10% for the airlines to get federal assistance.

Subject	Re: Re: airline sales
Entry	04/05/2020 12:17 PM
Member	tugger85

My view - I think he wants to get under 10% to not dislcose large moves in anticipation of them potentially getting hit harder where he would consider a much larger bet.

Subject Re: Re: Re: airline sales
Entry 04/05/2020 12:47 PM
Member azia1621

Appreciate that view but if he just wanted to get under 10% he could have sold a lot less Delta than he did (like half as much).

Think the straightforward interpretation is that he wants to get out but just sold a little so as not to cause massive panic. Now he can sell all he wants and doesn't have to disclose. Just kind of weird because he was buying Delta stock 4 weeks ago and literally said he wouldn't be selling the airlines. I get the watch what he does and not what he says angle, but he really does care about his legacy, and when KHC blew up he basically said they would be riding it out even though the stock was probably overvalued because bailing "just isn't our style."

Of course, C19 is poised to take down the entire industry so his thinking could be different here.

Subject Re: Re: Re: Re: airline sales
Entry 04/05/2020 01:03 PM
Member MarAzul

We are just guessing at this point, but here are some of my thoughts:

-I think he is reducing his position in all of his positions. We know about LUV &DAL because in both of those he woned more than 10%. He probably sold some shares in one of the other two (UAL & AAL). One of hte positions is Ted's so who know if he chose to keep it.

-Doubt he is doing this to buy an airline outright given that DAL & LUV were his favorites and he is selling down.

-Not a good look being the largest owner of a company that is taking public money (same probably happened with mco during the crisis, wfc now, etc).

-Probably trying to save some of his investment, the equities are likely a zero.

Subject annual meeting
Entry 05/04/2020 02:36 PM
Member spike945

Was anyone else very surprised that WB was not more aggressive in March with purchases for the portfolio? i would have expected at least a little bit of the cash horde to be spent.

Thankfully it appears no big insurance loss - although he did mention twice that he knows of one company that perhaps wrote too much of it. i wonder who that could be.

Subject Re: annual meeting
Entry 05/04/2020 02:52 PM
Member azia1621

initially i was surprised, but once he shared his views on the economy going forward, i understood why. he was ready to do all manner of deals with companies on the brink in march, but no one called. no one needed him when Powell and private equity were ready to deploy capital at moment's notice.

he even said he doesn't think berkshire is any more undervalued now than it was before the virus hit.

there may be some other issues at play here (concern for his legacy, not wanting to go out making a huge bet that proves to backfire, etc.), but he may just simply be bearish.

Subject Re: Re: annual meeting
Entry 05/04/2020 03:21 PM
Member WinBrun

Azia--

1-Can't he do both (buy back stock/do deals)? Assume $30B needs to stay in the business. Seems like he has more than enough cash to repurchase shares and provide liquidity do deals given the underlying cash flow.

2-Does the fact that he does not think BRK is any more undervalued change the fact that it is still undervalued based on the historical 1.2x book metric?

3-Why would buying back stock hurt his legacy? Isn't buying back BRK at a discount almost the least risky investment he can make (other than opporunity cost).

Seems possible that Buffett is in a unique position to almost create a structural floor on the stock price if here were to buy a lot of stock at a price--shareholders then assume there is implied put to him in perpetuity at that price----in theory that is not bad--but it may actually show his hand too much in a way that he historically does not do----he is the master at telling you a lot and telling you almost nothing at the same time

The simplest explanation is he does not think BRK-B is cheap. Which means that a lot of value investors are wrong. Another explanation is he expecting/waiting for things to get worse--but that seems very UnBuffett like.

Subject	Re: Re: Re: annual meeting
Entry	05/04/2020 03:31 PM
Member	SpocksBrainX

this is all belly button guessing but he mentioned that 1) the commercial paper market for high rated companies went into seizure and 2) the Fed chairman was a superstar cause he acted very quickly when many might have not, which restored liquidity pronto (and by the way, gave him the ability to get rid of the airline positions much faster than he thought was possible; my inference from this is he was perhaps - guessing - more focused on getting rid of low conviction or changed conviction holdings than seeking out new ideas) and ended the rout.   If the Fed hadn't of acted, then much worse things could have happened from what I gathered, which would make you hesitate a bit. that's what I heard, but....lastly, he mentioned acting too quickly in 2008 which had to influence his thinking a bit, right?

Subject	Re: Re: Re: annual meeting
Entry	05/04/2020 03:37 PM
Member	trev62

To pause his own buyback in early March and become a net seller of stocks, while holding a giant cash pile, tells me he's really worried. I was disappointed that he didn't at least buy his own shares at the lows in March.

Subject	Re: Re: Re: Re: annual meeting
Entry	05/04/2020 03:45 PM
Member	trev62

Possible alternative to my theory:

Subject Re: Re: Re: Re: Re: annual meeting
Entry 05/04/2020 03:54 PM
Member mip14

I dont think its that complicated. He is running this business to withstand anything on the longest possible time horizon and there are certain nodes that are so painful that he wants to prepare BRK for them. He is the GOAT and isn't trying to hit some 20-30% market rally after a 35% sell-off to pump his April numbers to LPs. He wants to invest when its easy in size. Based on his view of range of outcomes, investing isn't easy right now.

Subject Re: Re: Re: Re: Re: Re: annual meeting
Entry 05/04/2020 03:56 PM
Member surf1680

And his indicator says it is still expensive:

(trying to past the bufffett-indicator from gurufocus)

Subject Re: Re: Re: Re: Re: Re: annual meeting
Entry 05/04/2020 04:18 PM
Member WinBrun

I agree with that. But, I think many BRK investors were expecting that he would repurchase shares in Berkshire during the sell-off simply because Berkshire shares seemed very cheap and he has $137B in cash which he has said is more than he needs. Buying back BRK when its cheap has nothing to do with hitting a rally and it is arguably one of the best uses of capital for long-term shareholders. It does not seem like buying back $10B of BRK stock would have jeopardized the Company's position to withstand anything or would have precluded him from a doing any large deals.

He is the GOAT.

Subject Re: Re: Re: Re: Re: Re: Re: annual meeting
Entry 05/04/2020 04:50 PM
Member coffee1029

Insurance types think tails. The former Berkshire director, that vaccine guy, explained the realistic worst case scenario for the economy is really quite bad:

"My **hope** is that, by the **second half of 2021**, facilities around the world will be manufacturing a vaccine. If that's the case, it will be a history-making achievement: the fastest humankind has ever gone from recognising a new disease to immunising against it."

https://www.economist.com/by-invitation/2020/04/23/bill-gates-on-how-to-fight-future-pandemics

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Subject Re: Re: Re: Re: Re: Re: Re: annual meeting
Entry 05/04/2020 05:04 PM
Member mip14

But maybe the logical conclusion is that despite the fact that BRK is "down" its actually "more" expensive then the past because he thinks that the intrinsic value of the company has taken a step-down. Also, I think its crazy people have all these opinions on why he didn't buy shares because 'it sold off' or 'cheap to book' but this guy actually sees all of the companies and gets the real-time results of their performance. He also has the biggest library of knowhow to compare those results to history. My conclusion is that he actually thinks that BRK isn't down enough cause of how the world is changing.

I know we are in a BTFD, market only goes up, fed won market. But the GOAT doesn't care, he has seen periods of time when thinks go down, and then go down more, and then go down more. He isn't programed to bet SPX 3,300 anytime soon just cause it was there. Heck, he may even think BRK is overvalued based on COVID and its lasting impacts.

TLDR: Just cause stocks are down doesn't mean they are cheap. Warren knows that. Bull market babies don't.

Subject Re: Re: Re: Re: Re: Re: Re: Re: annual meeting
Entry 05/04/2020 08:18 PM
Member nola18

To some extent, I also think it highlights a pitfall of the BRK model. You have 4 people trying to deploy $125bn in cash. Buffett and Munger's circle of competence has primarily been US listed companies, and for the last many years, $50bn+ market cap companies in the US have been some of the most expensive assets in the world. For any investment, but particularly with private deals, scaling your time with 4 people means you need chunky $10bn+ transactions. There just arent that many of those. For a point of reference, KKR as a mega fund has 75% of their deals with less than a $2bn check size. And as you wait around trying to deploy that capital, your compounded return becomes a simple return. At some point, giving capital to the GOAT becomes a moot point if the size of the ship forces returns into mediocrity.

Subject MarAzul-Update
Entry 05/15/2020 04:04 PM
Member WinBrun

Hi MarAzul--Thank you for the write-up. Wondering how you think about BRK-B here. Believe that you had a $280 target. I realize a lot has changed since the write-up, but you could discount your price target a lot and still have a great return here. Lots of people have tossed around theories on what is going on/why there was no share repurchase. But, it feels like we are getting close to a point of maximum fatigue with BRK, at least among some of the legacy value-oriented fund managers who were probably expecting Buffett to repurchase shares/deploy the capital and thought the stock was cheap at $220. It seems to me this is potentially a uniquely good buying opportunity if you believe that that key underlying operating businesses are not impaired by COVID (other than short-term earnings) and the negative performance/relative underperformance of the stock combined with the complete lack of any catalyst and growing negative sentiment around Buffett/BRK is creating a short-term overhang. There is immense pressure to pile into Google/Facebook/Amazon- other more growth oriented names. BRK has historically outperformed in down markets (albeit this is too short of a time to measure so who knows) and it is the lagging S&P in a down market, so any quarter-to-quarter manager is going to have a hard time owning this. Seems to create a great entry point.

Subject Re: MarAzul-Update
Entry 05/15/2020 08:09 PM
Member MarAzul

Hi Winbrun,

Hope you are doing well.

As you mentioned, Berkshire has underperformed the market during this crisis. It has been tough as many thought the company would outperform during the next bear market. Investors also thought that during the next crash Berkshire would deploy some of its cash pile. So far both of those assumptions have been wrong. There is some fatigue in the investor base. This is an opportunity as I thought 20% above current prices haha.

I remain optimistic and think prospects from these levels are quite good with little downside. But you can ignore my opinion since I was very positive at much higher prices.

Some of the market worries/frustrations:

Portfolio: Coming into the crisis, Berkshire had close to 35% of the portfolio in financials. For obvious reasons, these names have gotten hit hard. This has been mitigated by a position of similar size in Apple which is flat for the year. Now financials (organically) have become a much smaller % of the portfolio (closer to 20-25%). This represents approximately 10% of both book value and market value. The portfolio is down possibly 20% for the year which is a bit worse than the market.

Insurance: The industry estimates the pandemic will cost $100bn which is similar to the large events of the last 2 decades. Buffett stated they don't have much exposure to business interruption and also have clauses that exclude pandemics. In addition, Geico has gotten some tailwinds as social distancing has reduced miles driven and accidents. They will probably do much better than the industry (interpreting Buffett's comments) and are highly capitalized so could take advantage of competitors playing defense for a while.

Susbisidiaries: Investors often focus on what is wrong at Berkshire, ignoring some of the businesses that are thriving. Now some are (justifiably so) focusing on PCC as they will get hit from the aerospace crisis. Demand will remain down for some years and the company will be less profitable. Moodys mentioned that they expect significant FCF generation, even in 2020 (higher than $550mm). So yes, there will be subsidiaries that feel the crisis but that is what you get from a diversified portfolio of companies. Looking at the two largest subsidiaries: BNSF will get hit with lower volumes but should remain highly profitable and eventually demand will come along (could take a few years, but no LT issues). BH Energy as a utility should continue to earn regulated profits. Berkshire subsidiaries employ little to no debt so they don't carry financial burden. I could see a scenario where some of these subsidiaries expand (bolt-on or organically) as the competition plays defense, but that is just speculation.

AGM: Buffett stated he manages Berkshire understanding some people have most of their NW in the company, and they have claims that have to be paid with reserves. For this reason, he is extra conservative. Some interpret this comment as if Buffett will never deploy some of its cash pile. I think he is just waiting for more clarity and better prices. If we can figure out this thing (hopefully) and the economy just wakes up, he will have missed it but he is willing to sacrifice that for security. He wants to be in a position of strenght if things go south from here. It is not highly likely, but a possibility (let's hope this won't happen). I feel like some investors have realized Berskhire might be a capital preservation vehicle and have abandoned ship looking for more exciting ideas. I find being conservative as a plus but inderstand it is not for everybody. Also feel some underestimate the profitability of some of the businesses inside berskhire, the benefits of the current architecture and flexibility to deploy resources. That is a discussion for another time.

Investments: Investors have questioned Buffett's abilities given some of his recent investments including airlines, OXY prefs and banks. I think all of those investments were quite reasonable when done. He even got called out in the case of OXY for taking advantage of the company as his investment was in too good terms. One of the peculiarities of this crisis is that some industries that got hit directly didn't stand a chance and that was the case in airlines for example. A low probability event. Others that are troubled now like OXY and some of the financials might work out nicely eventually so who knows. I would aso add that some of these positions like WFC & AXP were legacy with huge embedded gains.

Repurchases: Many, including me, thought he would repurchase shares aggresively during the crisis. He stopped repurchasing shares after March 10, seems like he realized the pandemic would have a huge impact on the economy and certain industries around that time. It is reasonable to keep the cash while there is no clarity. Shrinking the equity during this pandemic is probably not the best idea. I feel like opportunities will come but that is speculation and could be wrong. I feel like holding excess cash is not the worse of ideas during this pandemic but some might disagree and I respect that.

Rates: Interest rates are now once again at 0. Insurers have taken a hit given lack of investment opprtunities in this environment. Acknowlidging this, and the sudden lack of risk capital, rates have started going up. This should be a long term positive for Berkshire as they get to drive float with better terms and reinvest some of that cash. Most insurers just allocate the whole portfolio to FI so rates at 0 will hit the industry given those constraints.

Those are some of the worries, concerns, etc that I have heard from other investors.

Here is how I see it.

Berkshire is quite cheap and there is very little downside. There is a high likelihood that at one point in the next 3-5 years, Berkshire will trade at 1.4x BV. This is a valuation at which Buffett thought shares just 2 years ago (don't think it's aspirational). If over the next 5 years BV grows by 8% froma depressed point, you would get a double in 5 years. Again there is always a possibility things go wrong but I believe there is a wide margin of earror here with not much downside.

There have been some investments that have been hit (like you would expect from a diverse portfolio of assets during a crisis), but I don't think this company is worth $140bn less than a few months ago. Also it is not like Berkshire was overvalued at that point, Buffett was even buying back at those prices so he thought it was cheap.

The company came into the crisis with a ton of cash and a diversified stream of cash flows. They are built to withstand adversity, and even take advantage of the circumstances. For sure they will get hit, as most businesses in this economy, but this is temporal and there are no fatal wounds. In the crisis, the company will keep generating cash and looking for opportunities to deploy these resources at attractive rates.

I don't want to be the guy yelling BERKSHIRE IS CHEAP YOU MORONS. So enough from me. I would love to hear thoughts from those that think I am wrong or missing something, as it happens to almost all of us.

On another topic, I will take this opportunity to say how humbling this experience has been for me. Many of the underperforming investments I have held for years have taken serious hits during the last few months. It has also been difficult to see how some of the tech names just fly higher and have not felt this crisis (at least the stock price). In most cases, deservedly so since some are great businesses with very little exposure to the virus. Also, I don't believe the market is wrong bidding up these "expensive" tech names, etc. It is very likely some will not look expensive 5 years from now, so I am not on the camp that the market is wrong and I am right (I actually think Mr. Market is emotional but quite smart). It is what it is, I have to accept my sub-par results.

Underperforming for so long and suddenly the margin widens makes you think if you are adding any value or if all the time was even worth it. This is my profession so those are some things that are difficult to think/accept.

I have close to 80% of my net worth in Berskhire and I am quite positive of the prospects from this point. I think the company is well positioned to get over this pandemic, even if this thing worsens from here.

Hope the tide turns.

Good luck to you all.

Subject	Re: Re: MarAzul-Update
Entry	05/16/2020 02:45 PM
Member	SpocksBrainX

I have close to 80% of my net worth in Berskhire and I am quite positive of the prospects from this point. I think the company is well positioned to get over this pandemic, even if this thing worsens from here.

nothing meant by this - you might have a colossal net worth which changes everything, but I've seen this among a lot of value investors and don't really understand the mindset (unless it has something to do with punchcards or the position grew to that size), esp. after something like March. In March, you had a wide array of companies - lots and lots and lots of them - do death dives, to the point where many were close BK levels. One I am familiar with - the restaurant BJRI fell to near $6 but then rebounded near $23. Lots of similiar stories.

If you are a value investor, why wouldn't you concentrate your time on the things like this? Unlike BH, you could take advantage. BH may be 'conservative' as you state, but wouldn't you agree that the investor base is WAY too intelligent and would never allow the stock to reach absurd levels (so far at least). This is a clear disadvantage, and has been like that for many years now. I think many folks don't appreciate this. If you have the analytical skills to evaluate BH, then you can certainly turn this to your advantage elsewhere.

Plus, BH itself is really hard, isn' t it? Take a sample - 1) Apple - you could have invested in this yourself; goodness knows how many times it fell to low PE levels, so what value if there in BH buying it for you? 2) banks - strikes me as a group you want to load up on during financial distress, not going into financial distress, but what do I know, 3) utilities - yeah, this is a group where I want to spend a lot of my time, and mandated returns with high CapEx sounds exactly what I want (?), 4) airlines - really?

I miss the See's Candies days (listening to that latest BH meeting - was struck by both how sharp the guy still is but how much he has to worry about and deal with - yikes). Fwiw, I own the stock, but there is a entire world of OTHER stocks with deranged monkey investors just waiting to give you an opportunity.

Subject	Re: Re: Re: MarAzul-Update
Entry	05/18/2020 02:33 PM
Member	SpocksBrainX

p.s. a terrific investor on this board saw this note and told me in no uncertain terms that BH was a big opportunity RIGHT here, as he just made it the largest position in his portfolio. I do own the stock, fwiw.

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as an aside, I wonder if he was sandbagging here (93 letter) - I would think because they are smart, they could easily make hundreds of smart decisions (which is what Lynch did - as Train wrote, the law of averages would invariably pull such an investor higher) but he just didn't want to - only thinking about this cause he said when selling the airlines that typically when they sell a position they unload it all:

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Charlie and I decided long ago that in an investment lifetime
it's just too hard to make hundreds of smart decisions.  That
judgment became ever more compelling as Berkshire's capital
mushroomed and the universe of investments that could significantly
affect our results shrank dramatically.  Therefore, we adopted a
strategy that required our being smart - and not too smart at that
- only a very few times.  Indeed, we'll now settle for one good
idea a year.
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Subject	Re: Re: MarAzul-Update
Entry	05/18/2020 02:59 PM
Member	WinBrun

Thank you MarAzul--truly appreciate the thoughtful and candid response.

Subject	Jan call options
Entry	07/12/2020 11:22 AM
Member	engrm842

what do you make of the Jan 15 2021 calls 230 strike trading for ~90 cents with very low IV? Seems juicy.

Subject	Re: Jan call options

Entry 08/06/2020 07:30 PM
Member engrm842

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Subject Re: Re: Jan call options
Entry 08/07/2020 09:22 AM
Member pcm983

It's been a good trade and please don't take this the wrong way because I'm not trying to call you out, but the view that the specific option was too cheap is wrong. IV on the 230 call is down half a vol to a vol from the trade date (call it 21 vol to 20 vol as strike moves toward spot) and BRK/B historic vol has been realizing <20 vol since the trade date. So by either of those metrics the call seems to have been accurately priced.

The timing of initiating a long position was obviously spot on, and taking leverage amplifies that view, but from a pure option-pricing perspective I'd take issue with the statement that the call was cheap.

Subject Repurchases
Entry 08/10/2020 02:19 PM
Member MarAzul

Good to see Buffett is willing to repurchase shares if the price is right. He bought more than 10% of daily volume so reasonable to think that he bought as much as he could during 2q. This q # annualized comes to ~$20bn, which is close to annual FCF. So this can be a way to reduce pressure of deploying capital in new ideas (especially if markets are pricey).

The effect of these buybacks on the value of BRK is not large, having said that, it is good to see that they are willing to return excess capital to shareholders instead of hoarding it. There was some fear that Buffett dislikes buying back BRK shares and would never do it. This can be put to rest in my opinion.

Subject book value
Entry 08/20/2020 10:39 PM
Member engrm842

I peg current BV adjusted for apple and july share repo at $177 or so or 1.16x BV. Has the stock ever been this cheap? $500b cap - cash - securites is yielding something like < 5x EBIT for operating businesses.

How and why does this re-rate?

Subject Re: book value
Entry 10/12/2020 04:25 PM
Member engrm842

keeps getting cheaper and cheaper...

I peg BV per share at $180 at the end of the close today; ~1.20x book.

AAPL ~24% of market cap.

Subject q3
Entry 11/08/2020 06:23 AM
Member MarAzul

3q repurchases of $9bn is a lot. This is encouraging as it puts to rest the idea Buffett won't be aggressive on buybacks. I think he must be getting calls from sellers as yhe number is a large % of daily volume.

Subject Re: q3
Entry 11/08/2020 08:02 AM
Member moneytr33

And an additional 7.48 million A-equiv shares from 9/30 - 10/26, which would be another ~$2.3bn or 0.5% of outstanding

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Subject Re: q3
Entry 11/08/2020 11:50 AM
Member LDMR

On the AGM (early May), WeB said he didn't think the stock is cheap enough to do aggressive buybacks (implied that IV and share price went down in tandem). Stock was at $170.

Then on Q3 with stock mostly >$200, he went through with a pretty aggressive buyback.

Do you interpret that as stock rising materially less than IV during those 6 months or do you think his assesment of the hit to the economy is now milder than it was on May? Of course, there's also a third option...

Subject Re: Re: q3
Entry 11/08/2020 05:08 PM
Member Harden

I'd say visibility on govt response, healthcare response, and fed response is much better. It is clear that there is a great willingness to pull through a lot of businesses and people with support. Maybe there is more clarity around their liability to business insurance (I'm not sure actually) And that it is quite effective. The portfolio also bounced back right. I mean in March the treasury market went nuts even.

Subject	Re: q3
Entry	11/09/2020 05:27 PM
Member	engrm842

Even after today's "big move" (not really given XLF/Banks were up way more...) stock is still 1.25x 3Q end BV... still ridiculously cheap vs. historicals.

Subject	Re: Re: q3
Entry	11/12/2020 01:57 PM
Member	SpocksBrainX

people ask, but I will ask again - what happens the day after WEB passes - to this stock?

-Wave of selling?

-Will the new person(s) in charge of investments redo the portfolio?

-Will new operating management be open - eventually, meaning 3 years eventually - be open to selling pieces off? Regardless of comments made now, is it hard to envision this company keeping the sort of decentralized structure it does now w/o WEB at the helm?

-A vision for the future?

any thoughts appreciated...realize all conjecture, but doesn't mean it isn't important

Subject	What happens the day after WEB passes - to this stock?
Entry	11/12/2020 05:45 PM
Member	Biffins

If I had to guess........ -10%.

Subject	Re: Re: Re: q3
Entry	11/13/2020 03:37 AM
Member	Harden

My guess would be the stock drops maybe -2% up to 4%.

If it hasn't been doing well, it may be an excuse for people to finally slowly sell out and there will be headwinds for some time after.

New management won't sell anything significant off. I think they will aim to maintain the Berkshire brand. The portfolio will semi-rapidly change.

They are definitely not going to start an asset management business. But it is a great idea :)

Subject	Update
Entry	11/19/2020 12:55 PM
Member	MarAzul

Took a look at the numbers after all that has happened since early march, here is an update

	2018	2019	2020	2021	2022
MSR	$9,364	$9,372	$7,800	$8,500	$9,400
Energy	$2,621	$2,840	$3,300	$3,800	$4,200
BNSF	$5,219	$5,481	$5,000	$5,500	$5,800
Insurance Underwritting	$1,566	$325	$1,000	$2,000	$2,000
Total Operating Earnings	**$18,770**	**$18,018**	**$17,100**	**$19,800**	**$21,400**
Cash	$109.2	$125.0	$135.0	$135.0	$135.0
Bonds	$19.9	$18.7	$19.4	$19.4	$19.4
Stocks	$172.8	$248.0	$250.0	$267.5	$286.2
Other	$17.3	$17.5	$17.1	$17.1	$17.1
Liquid Assets	**$319.2**	**$409.2**	**$421.5**	**$439.0**	**$457.7**
Op. Earnings/Share	$11,420	$11,067	$10,998	$13,265	$14,934
Liquid Assets/Share	$194,213	$251,330	$271,083	$294,102	$319,424
Share A equivalent	1,643,556	1,628,138	1,554,872	1,492,677	1,432,970

Subject	value
Entry	12/04/2020 01:45 PM
Member	engrm842

so... S&P 500 at ATH and Berk still at 1.25x BV despite being the largest corporate share repurchaser in the public market? Ok.

Subject	Value
Entry	12/18/2020 02:11 PM
Member	engrm842

Now 1.18x current book value at $222/B-share. Equity book + $28B since 9/30

Subject	Re: Value
Entry	12/18/2020 03:59 PM
Member	MYetman

I look forward to seeing another massive number of share buybacks reported next Q.

Subject	Re: Re: Value
Entry	12/22/2020 05:17 PM
Member	engrm842

1.15x BV now with today's move in AAPL and BRKB's underperformance.

Subject	Re: Update
Entry	03/02/2021 02:26 PM
Member	MarAzul

Quick update of the same table. Some minor changes, but overall things are going as expected (maybe better).

	2018	2019	2020	2021E	2022E
MSR	$9,364	$9,372	$8,300	$9,400	$9,700
Energy	$2,621	$2,840	$3,091	$3,500	$3,900
BNSF	$5,219	$5,481	$5,161	$5,600	$5,800
nsurance Underwritting	$1,566	$325	$657	$2,000	$2,000
Total Operating Earnings	**$18,770**	**$18,018**	**$17,209**	**$20,500**	**$21,400**
Cash	$109.2	$125.0	$135.0	$135.0	$135.0
Bonds	$19.9	$18.7	$20.4	$20.4	$20.4
Stocks	$172.8	$248.0	$281.2	$300.9	$321.9
Other	$17.3	$17.5	$17.3	$17.3	$17.3
Liquid Assets	**$319.2**	**$409.2**	**$453.9**	**$473.6**	**$494.6**
Op. Earnings/Share	$11,420	$11,067	$11,052	$13,715	$14,913
Liquid Assets/Share	$194,213	$251,330	$291,517	$316,833	$344,712
Share A equivalent	1,643,556	1,628,138	1,557,026	1,494,745	1,434,955

Subject	Update
Entry	08/09/2021 10:32 AM
Member	MarAzul

Numbers are looking better than what I projected some months ago. Markets and economic tailwinds have helped.

	2019	2020	2021E	2022E
MSR	$9,372	$8,300	$11,000	$11,440
Energy	$2,840	$3,091	$3,500	$3,900
BNSF	$5,481	$5,161	$5,700	$6,000
Insurance Underwritting	$325	$657	$2,000	$3,000
Total Operating Earnings	**$18,018**	**$17,209**	**$22,200**	**$24,340**
Cash	$125.0	$135.0	$140.0	$140.0
Bonds	$18.7	$20.4	$20.4	$20.4
Stocks	$248.0	$281.2	$320.0	$342.4
Other	$17.5	$17.3	$16.5	$16.5
Liquid Assets	**$409.2**	**$453.9**	**$496.9**	**$519.3**
Op. Earnings/Share	$11,088	$11,146	$14,978	$17,106
Liquid Assets/Share	$251,815	$293,984	$335,245	$364,956
Share A equivalent	1,625,000	1,543,959	1,482,201	1,422,913

Subject	sokol
Entry	02/26/2022 01:46 PM
Member	finn520

From today's letter "Subsequently, under David Sokol’s and Greg Abel’s leadership, BHE has become a utility powerhouse (no groaning, please) and a leading force in wind, solar and transmission throughout much of the United States."

I believe this is the first time Buffett has mentioned Sokol in his annual letter since the latter's 2011 resignation. Buffett always gushed about Sokol and my sense was that he was very reluctant to see him go. I wonder if Sokol will ever return to Berkshire.

Subject	Re: Update
Entry	04/10/2022 12:27 PM
Member	MarAzul

	2019	2020	2021	2022E	2023E
MSR	$9,372	$8,300	$11,120	$11,565	$12,027
BH Energy	$2,840	$3,091	$3,495	$4,000	$4,800
BNSF	$5,481	$5,161	$5,990	$6,000	$6,300
Insurance Underwritting	$325	$657	$728	$2,000	$2,000
Total Operating Earnings	**$18,018**	**$17,209**	**$21,333**	**$23,565**	**$25,127**
Cash	$125.0	$135.0	$143.8	$145.0	$145.0
Bonds	$18.7	$20.4	$16.4	$16.4	$16.4
Stocks	$248.0	$281.2	$350.7	$380.0	$406.6
Other	$17.5	$17.3	$17.3	$17.3	$17.3
Liquid Assets	**$409.2**	**$453.9**	**$528.2**	**$558.7**	**$585.3**
Op. Earnings/Share	$11,088	$11,146	$14,452	$16,458	$18,092
Liquid Assets/Share	$251,815	$293,984	$357,825	$390,193	$421,412
Share A equivalent	1,625,000	1,543,959	1,476,141	1,431,857	1,388,901

Subject Update
Entry 08/23/2022 06:55 PM
Member MarAzul

	2019	2020	2021	2022E	2023E
MSR	$9,372	$8,300	$11,120	$12,000	$12,800
BH Energy	$2,840	$3,091	$3,495	$4,100	$4,800
BNSF	$5,481	$5,161	$5,990	$6,400	$6,600
Insurance Underwritting	$325	$657	$728	$2,000	$2,000
Total	**$18,018**	**$17,209**	**$21,333**	**$24,500**	**$26,200**
Cash	$125.0	$135.0	$143.8	$105.0	$105.0
Bonds	$18.7	$20.4	$16.4	$21.0	$21.0
Stocks	$248.0	$281.2	$350.7	$380.0	$406.6
Other	$17.5	$17.3	$17.3	$17.3	$17.3
Liquid Assets	**$409.2**	**$453.9**	**$528.2**	**$523.3**	**$549.9**
Op. Earnings/Share	$11,088	$11,146	$14,452	$17,014	$18,757
Liquid Assets/Share	$251,815	$293,984	$357,825	$363,403	$393,686
Share A equivalent	1,625,000	1,543,959	1,476,141	1,440,000	1,396,800

Subject Re: Update
Entry 04/29/2023 07:54 AM
Member MarAzul

	2019	2020	2021	2022	2023E
MSR	$9,372	$8,300	$11,120	$12,512	$12,900
BH Energy	$2,840	$3,091	$3,572	$3,904	$4,500
BNSF	$5,481	$5,161	$5,990	$5,946	$6,100
Insurance Underwritting	$325	$657	$728	$0	$2,000
Total	**$18,018**	**$17,209**	**$21,410**	**$22,362**	**$25,500**
Earnings Ex-Insurance	**$17,693**	**$16,552**	**$20,682**	**$22,362**	**$23,500**
Cash	$125	$135	$144	$125	$140
Bonds	$19	$20	$16	$25	$25
Stocks	$248	$281	$351	$309	$340
Other	$18	$17	$17	$28	$28
Liquid Assets	**$409**	**$454**	**$528**	**$487**	**$533**
Op. Earnings/Share	$10,888	$10,720	$14,011	$15,335	$16,614
Liquid Assets/Share	$251,815	$293,984	$357,825	$334,034	$376,886
Share A equivalent	1,625,000	1,543,959	1,476,141	1,458,235	1,414,488

Some color:

1) Berkshire has kept performing quite well. In 2023, numbers will include the Alleghany acquisition which closed in late 2022. Also, they increased thei stake in Pilot Flying J to 80% so earnings will be consolidated and stop using the equity method. These 2 factors should help both MSR earnings and insurance.

2)Portfolio has recovered this year, primarily with the Apple gain. That explains the big bump in equity investments.